

Rigetti Computing, Inc.

RGTI NASDAQ

Hold **\$19.44 ▼ 10.68%** 12M Price Target **\$22.00** 52-Week Range **\$10.30 – \$58.15**

Market Cap
\$6.46B

RGTI: Cepheus Progress Offset by CEO Sale, Reiterate Hold

WHAT'S CHANGED

- RGTI -10.68% to \$19.44 on heavy volume (44.2M shares), extending a -19% slide over 4 sessions despite constructive Bernstein note flagging RGTI/INFQ as early quantum winners and Zacks coverage of Cepheus system progress.
- CEO Kulkarni sold 61,000 shares @ \$24.38 (\$1.49M) on 6/1 near local highs; unusual June \$18/\$18.5 put activity (7.1x and 4.6x OI) signals near-term downside hedging into news cycle.

IMPLICATIONS

The disconnect between bullish sell-side narrative (Bernstein, Barron's quantum picks) and sharp tape weakness suggests profit-taking after the stock more than doubled off 52-week lows, compounded by the CEO's \$1.5M sale at \$24+ printing a top-tick signal. With no SEC filings to anchor the move, this is a sentiment/positioning unwind in a name where 19% of the 52-week range and a \$6.5B market cap on sub-\$20M revenue leaves valuation almost entirely dependent on Cepheus milestones and government contract flow. The defensive sector rotation (Real Estate, Healthcare, Staples leading) is incremental headwind for speculative deep-tech, and put flow concentration at \$18 strikes implies dealers may accelerate selling on a break of that level.

VALUATION

At \$6.46B market cap on ~\$18M FY26E revenue, RGTI trades at ~360x EV/Revenue — a multiple that capitalizes optionality on quantum advantage rather than near-term fundamentals; peer IONQ trades at similarly elevated levels but with larger backlog. Our \$22 base PT applies ~200x EV/FY27E revenue, implying modest multiple compression as the quantum cohort matures, with upside to \$40 (bull) contingent on Cepheus benchmark validation and a Federal contract anchor. Downside to \$10-12 is realistic on any capital raise or technical milestone slippage given thin revenue cushion.

KEY RISKS

- Cash burn requiring dilutive equity raise; RGTI has historically funded operations via ATM issuance
- Technical execution risk on Cepheus / qubit fidelity milestones — binary catalysts in coming quarters
- Quantum cohort rerating risk: a single peer disappointment (IONQ, QBTS, INFQ) drags entire group given thematic trading correlation

RECENT NEWS

Rigetti Computing and a Buzzy Space Stock Are This Analyst's Top Quantum Picks
Barrons.com · 2026-06-09 17:31

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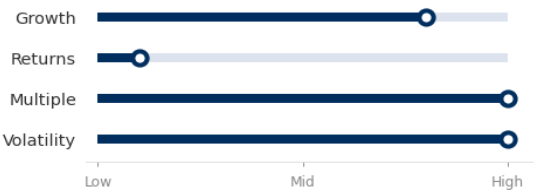
AI-Generated Pre-Market Brief | 2026-06-09 19:58 UTC

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Key Data

Price (USD)	\$19.44
12M Price Target	\$22.00
Upside / (Downside)	+13.2%
Market Cap	\$6.46B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$26.00	\$20.00	\$15.00
6 Months	\$32.00	\$22.00	\$12.00
1 Year	\$40.00	\$24.00	\$10.00
2 Years	\$55.00	\$28.00	\$8.00
5 Years	\$90.00	\$35.00	\$5.00
10 Years	\$180.00	\$50.00	\$3.00

SECTOR INTELLIGENCE

HOT SECTORS: Real Estate, Healthcare

COLD SECTORS: Materials (-1.93% 5D), Speculative Tech

ROTATION WATCH: Defensive rotation into Real Estate/Healthcare/Staples suggests risk-off positioning ahead of macro data; this is structurally negative for unprofitable thematic names like quantum until rate expectations or risk appetite shift.

BYPRODUCT PLAY: Cryogenics suppliers (Bluefors-adjacent), specialty semis enabling qubit control electronics, and hyperscaler quantum-cloud partners (IBM, GOOGL, MSFT) capture quantum spend with diversified revenue cushions.

OUTPERFORMERS & PEER CONTEXT

- INFQ (Inflection): Called out alongside RGTI by Bernstein as early quantum winner; newer listing trading on novelty premium
- IBM (IBM): Quantum roadmap monetizing through hybrid cloud with actual cash flow backing — the "enterprise backlog" alternative cited in 24/7 Wall St coverage

RGTI CONTEXT: RGTI is lagging the quantum cohort over the last 5 sessions (-19% vs sector mixed) despite positive analyst commentary, indicating idiosyncratic profit-taking and insider supply rather than thematic rejection. Relative weakness vs IONQ/QBTS bears monitoring as a leading indicator of capital raise risk.

INVESTMENT STRATEGY

4/10 Conviction Score

Position Size: 0.5-1.5% of portfolio (speculative sleeve)

Entry Points: \$14-16 on broader quantum pullback

Time Horizon: 12-24 months

Thesis Invalidation: Cepheus milestone slip, equity raise >\$300M, or loss of DARPA/government contract momentum

Hedging: Pair long vs short IONQ or QBTS; protective Jul \$18 puts